

PROJECT REPORT

OF

SH. _____ S/O SH. _____
Add: _____

Dairy Udhyog - 15 H.F. Cows Dairy Unit (with Infrastructure)

Total Project Cost : Rs. 22.93 Lacs | Scheme : PMEGP

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Bio Data of Unit & Promoter

1	Name of Project	Dairy Udhyog (15 H.F. Cows)
2	Address	_____ _____
3	Proprietor	SH. _____ S/O SH. _____
4	Status	Proprietorship Firm (Category: _____)
5	Business / Activity	Dairy farming - sale of milk & gobar khad
6	Breed / Herd size	Holstein Friesian (H.F.) cross-bred cows - 15 Nos (20 Ltr/day yielders)
7	Raw Materials	Green & dry fodder, cattle feed, khal, mineral mixture - easily available locally
8	Promoter Introduction	Experienced in animal husbandry
9	Market Opinion	Very good scope: ready demand from Saras dairy collection centres, sweet shops & households. Demand increasing day by day.
10	Production Capacity	Installed: 300 Ltr milk/day (15 cows x 20 Ltr) Utilised: 225 Ltr/day (75% - about 11 cows in milk, 4 dry)
11	Employment	2 persons (1 skilled + 1 un-skilled) + promoter & family

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PROJECT - REPORT

1. Cost of Project (Rs. in Lacs)

S.No	Particulars	Amount
1	Land	Owned
2	Building, Cattle Shed & Infrastructure	5.67
3	Plant & Machinery, Equipments	1.96
4	Live Stock - 15 H.F. Cows	13.50
5	Pre-operative (cattle insurance 1st yr & transportation)	0.41
6	Working Capital	1.40
	Total Cost of Project	22.93

2. Means of Finance (Rs. in Lacs)

S.No	Particulars	Amount
1	Promoter's Contribution (21.8%)	5.00
2	Term Loan from Bank	16.67
3	Working Capital Loan (CC Limit)	1.26
	Total	22.93

3. Fund Required from Bank under PMEGP Scheme (Rs. in Lacs)

S.No	Particulars	Amount
1	Term Loan	16.67
2	Working Capital	1.26
	Total Bank Finance	17.93

Note: Under PMEGP (rural area, special category - SC/ST/OBC/Women etc.) margin money subsidy @ 35% i.e. about Rs. 8.03 Lacs is admissible. It is kept as a 3-year lock-in (TDR) with the bank and adjusted against the loan, hence not taken in the projections.

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1. Factory Land

Dairy unit situated at Village _____, Tehsil _____, Distt. _____ - Owned

2. Building, Cattle Shed & Infrastructure (Rates incl. material & labour)

S.N.	Particulars	Qty	Unit	Rate	Amount
1	Cattle shed - steel pipe structure with GI/tin sheet roof, 30' x 45'	1350	Sq.ft	200	270,000
2	PCC floor with slope, anti-slip grooving & urine drain	1350	Sq.ft	40	54,000
3	Manger (khor) & water trough - brick & cement	45	R.ft	700	31,500
4	Feed / fodder store-cum-labour room 10' x 20'	200	Sq.ft	400	80,000
5	Calf pen & sick-animal (isolation) pen	L.S.		31,000	31,000
6	Side / boundary wall (brick, 4.5 ft high)	140	R.ft	250	35,000
7	Dung pit & vermicompost beds	2	Nos	15,000	30,000
8	Electric fitting, lights & water pipeline	L.S.		35,000	35,000
	Total				566,500
				Or Say	5.67 Lacs

Shed space: ~90 sq.ft covered per cow; long axis East-West, 12-14 ft height at centre for ventilation.

3. Plant & Machinery etc. (Rates incl. GST & freight)

S.N.	Particulars	Pcs.	Rate	Amount	Supplier
1	Milking machine (double bucket, electric)	1	55,000	55,000	Open Market
2	Electric chaff cutter with 2 HP motor	1	27,000	27,000	Open Market
3	Water motor / submersible pump 1.5 HP	1	18,000	18,000	Open Market
4	Water tank 2000 Ltr (PVC)	1	14,000	14,000	Open Market
5	Milk cans 40 Ltr (aluminium)	5	3,000	15,000	Open Market
6	Rubber cow mats	15	2,500	37,500	Open Market
7	Fans / foggers for summer cooling	3	3,500	10,500	Open Market
8	Balti, bhagona, chain, rope & misc. items	L.S.	19,000	19,000	Open Market
	Total			196,000	
			Or Say	1.96 Lacs	

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4. Live Stock

S.N.	Particulars	No.	Rate	Amount	Supplier
1	H.F. cross-bred cows (2nd/3rd lactation, 20 Ltr/day)	15	90,000	1,350,000	Open Market / Cattle Fair
			Or Say	13.50 Lacs	

Cows to be purchased in two batches of 10 (gap of ~4-6 months) so that milk production remains uniform round the year.

5. Pre-operative Expenses

S.N.	Particulars	Amount
1	Cattle insurance 1st year @ ~2.5% of Rs. 13.50 Lacs	33,750
2	Transportation of cows	7,000
	Total (Or Say)	0.41 Lacs

6. Working Capital Limit

Particulars	Margin %	Amount	Bank	Own
Feed & fodder stock	10%	70,000	63,000	7,000
Sundry receivable (milk bills)	10%	50,000	45,000	5,000
Cash in hand	10%	20,000	18,000	2,000
Total		140,000	126,000	14,000

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STATEMENT OF PROJECTED COST OF PRODUCTION & SALES REALISATION**Basic Parameters**

Name of Product	Milk, Gobar Khad
Name of Raw Materials	Green fodder, bhusa, cattle feed, khal, mineral mixture
Installed Capacity	300 Ltr milk per day (15 cows x 20 Ltr)
No. of Working Days	350 days milk sale in a year; ~75% cows in milk at a time

Utilisation	Capacity %	Ltr / Day	Ltr / Year
1st Yr	75%	225	78,750
2nd Yr	75%	225	78,750
3rd Yr	75%	225	78,750
4th Yr	75%	225	78,750
5th Yr	75%	225	78,750
6th Yr	75%	225	78,750
7th Yr	75%	225	78,750

Calculation of Sales Realisation - 1st Year

Particulars	Qty	Unit	Rate	Amount (Rs.)
Milk sale (225 Ltr/day x 350 days)	78,750	Ltr	35	2,756,250
Gobar khad (from dung pit)	45	Ton	2,000	90,000
Net Sales Realisation				2,846,250
			Say Rs.	28.46 Lacs

Milk rate Rs. 35/Ltr is the average realisation from dairy collection centre and direct sale to households / sweet shops. 15 cows give ~110 ton fresh dung a year, giving ~45 ton gobar khad sold to farmers @ Rs. 2,000/ton. Selling prices escalated @ 3% p.a. in later years.

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Calculation of Cost of Production (1st Year)

(a) Cost of Raw Material - Feed & Fodder

Particulars	Qty	Unit	Rate	Amount (Rs.)
Green fodder from own field (cost of cultivation) @ 20 kg/cow/day	1,095	Qtl	100	109,500
Dry fodder - bhusa / kadbi @ 5 kg/cow/day	274	Qtl	1,000	273,750
Concentrate - cattle feed, khal, dana (1 kg per 2.5 L milk + 1.5 kg)	411	Qtl	2,700	1,108,688
Mineral mixture & salt @ 50 g/cow/day	274	Kg	170	46,538
Cost of Raw Material			Or Say	15.38 Lacs

(b) Power & Utility

Power - 6,000 units @ Rs. 8.00 (chaff cutter, milking m/c, pump, fans)	48,000
Diesel / other fuel	12,000
Total (Say Rs. Lacs)	0.60

(c) Veterinary, Medicine & Breeding

Medicine, vaccination & deworming @ Rs. 3,000 / cow	45,000
Artificial insemination & misc. @ Rs. 500 / cow	7,500
Total (Say Rs. Lacs)	0.53

(d) Salary & Wages

Designation	No.	Salary P.M.	Amount P.M.
Skilled labour / milker	1	15,000	15,000
Un-skilled labour	1	10,000	10,000
Total (x 12 months)			3.00 Lacs

Management & accounts looked after by the promoter; family also helps in day-to-day work.

(e) Other Admin. Expenses

Office & misc. exp.	12,000
Travelling & conveyance	18,000
Phone & stationery	6,000
Milk transport to dairy	14,000
Total (Say Rs. Lacs)	0.50

(f) Repair & Maintenance

2% on building (Rs. 5.67 L) + 3% on machinery (Rs. 1.96 L) = **Rs. 0.17 Lacs**

(g) Cattle Insurance

1st year included in pre-operative cost; renewal from 2nd year @ 2.5% = **Rs. 0.34 Lacs** p.a.

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Statement of Cost of Expenses & Profitability (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Installed capacity (Ltr/day)	300	300	300	300	300	300	300
Utilised capacity %	75%	75%	75%	75%	75%	75%	75%
Production (Ltr/day)	225	225	225	225	225	225	225
Raw material (feed & fodder)	15.38	16.15	16.96	17.81	18.70	19.64	20.62
Salary & wages (5% inc.)	3.00	3.15	3.31	3.47	3.65	3.83	4.02
Power & utilities	0.60	0.62	0.64	0.66	0.68	0.70	0.72
Veterinary & breeding	0.53	0.55	0.58	0.61	0.64	0.67	0.70
Cattle insurance	0.00	0.34	0.34	0.34	0.34	0.34	0.34
Admin. expenses (5% inc.)	0.50	0.53	0.55	0.58	0.61	0.64	0.67
Repair & maintenance	0.17	0.17	0.17	0.17	0.17	0.17	0.17
Interest (T.L. + W.C.)	2.01	1.72	1.44	1.15	0.87	0.58	0.29
Depreciation	2.60	2.28	2.00	1.76	1.54	1.36	1.19
Total Expenses	24.79	25.51	25.99	26.54	27.19	27.91	28.72
Sales / Gross Receipt	28.46	29.32	30.20	31.10	32.03	33.00	33.99
Profit Before Tax	3.67	3.80	4.21	4.56	4.85	5.08	5.26
Income Tax (new regime)	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Profit After Tax	3.67	3.80	4.21	4.56	4.85	5.08	5.26
Gross Cash Accruals	6.27	6.09	6.21	6.32	6.39	6.44	6.45
Net Profit Ratio % (before tax)	12.90	12.98	13.95	14.65	15.13	15.40	15.48

Profit (1st Year)

Revenue expected per year	28.46
Less: cost of expenses	24.79
Profit	3.67

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Calculation of Depreciation (W.D.V. method, Rs. in Lacs)

Asset (Cost)	Rate	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Building & shed (5.67)	10%	0.57	0.51	0.46	0.41	0.37	0.33	0.30
Plant & machinery (1.96)	15%	0.29	0.25	0.21	0.18	0.15	0.13	0.11
Live stock (cows) (13.91)	12.5%	1.74	1.52	1.33	1.16	1.02	0.89	0.78
Total		2.60	2.28	2.00	1.76	1.54	1.36	1.19

Live stock depreciation @ 12.5% taking average productive life of 8 years (pre-operative cost capitalised with live stock).

Calculation of Interest on Term Loan @ 12.00% (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
Opening balance	16.67	14.29	11.91	9.53	7.15	4.76	2.38
Less: repayment	2.38	2.38	2.38	2.38	2.38	2.38	2.38
Closing balance	14.29	11.91	9.53	7.15	4.76	2.38	-0.00
Average balance	15.48	13.10	10.72	8.34	5.95	3.57	1.19
Interest @ 12.00% on avg. bal.	1.86	1.57	1.29	1.00	0.71	0.43	0.14

Term loan repayable in 7 years in equal yearly (monthly) instalments. Interest on W.C. limit Rs. 1.26 L @ 12.00% = Rs. 0.15 L p.a.

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Debt Service Coverage Ratio (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
A. Cash Accruals							
Profit after tax	3.67	3.80	4.21	4.56	4.85	5.08	5.26
Depreciation	2.60	2.28	2.00	1.76	1.54	1.36	1.19
Interest on term loan	1.86	1.57	1.29	1.00	0.71	0.43	0.14
Total (A)	8.13	7.66	7.50	7.32	7.11	6.87	6.60
B. Repayment of Obligations							
Repayment of bank loan	2.38	2.38	2.38	2.38	2.38	2.38	2.38
Interest on bank loan	1.86	1.57	1.29	1.00	0.71	0.43	0.14
Total (B)	4.24	3.95	3.67	3.38	3.10	2.81	2.52
C. D.S.C.R. (A / B)	1.92	1.94	2.04	2.16	2.29	2.44	2.61

Average D.S.C.R. = 51.17 / 23.67 = 2.16

D.S.C.R. = (Net profit after tax + Interest on T.L. + Depreciation) / (T.L. repayment + Interest)

Break-Even Point (1st Year, Rs. in Lacs)

Sales	28.46
Variable cost (feed, power, veterinary)	16.51
Contribution (Sales - Variable cost)	11.95
Fixed cost (wages, admin, R&M, interest, depreciation)	8.28
B.E.P. = Fixed cost / Contribution x 100	69.27%
B.E.P. in terms of installed capacity	51.95%

Key Financial Indicators

Total project cost	Rs. 22.93 Lacs
Bank finance (T.L. + W.C.)	Rs. 17.93 Lacs
Average D.S.C.R.	2.16
Net profit ratio (1st yr)	12.90%
Break-even point (1st yr)	69.27%
Payback period (cumulative cash accruals)	3.7 years

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PROJECTED CASH FLOW STATEMENT (Rs. in Lacs)

Particulars	1st Yr	2nd Yr	3rd Yr	4th Yr	5th Yr	6th Yr	7th Yr
A. CASH INFLOW							
Profit before tax	3.67	3.80	4.21	4.56	4.85	5.08	5.26
Depreciation	2.60	2.28	2.00	1.76	1.54	1.36	1.19
Own contribution	5.00	0.00	0.00	0.00	0.00	0.00	0.00
Term loan from bank	16.67	0.00	0.00	0.00	0.00	0.00	0.00
W.C. loan from bank	1.26	0.00	0.00	0.00	0.00	0.00	0.00
Total - A	29.20	6.09	6.21	6.32	6.39	6.44	6.45
B. CASH OUTFLOW							
Fixed assets (building, P&M, cows, pre-op.)	21.53	0.00	0.00	0.00	0.00	0.00	0.00
Current assets (W.C.)	1.40	0.00	0.00	0.00	0.00	0.00	0.00
Drawings	3.50	3.50	3.50	3.50	3.50	3.50	3.50
Income tax	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Repayment of term loan	2.38	2.38	2.38	2.38	2.38	2.38	2.38
Total - B	28.81	5.88	5.88	5.88	5.88	5.88	5.88
Increase in cash (A - B)	0.39	0.20	0.33	0.43	0.51	0.56	0.57
Opening balance	0.00	0.39	0.59	0.92	1.36	1.87	2.43
Closing balance	0.39	0.59	0.92	1.36	1.87	2.43	3.00

Conclusion

The project is technically feasible and financially viable. With average D.S.C.R. of 2.16, the unit can comfortably repay the bank loan within 7 years, besides generating employment for 2 persons in the village. Bank finance is recommended.

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